

cleaners during the formally designated Great Depression, he or she was by no means home free. In August 1937, the market began a violent sell-off that would carry the averages down by 50% by March 1938. The nonfinancial portion of the economy fared little better than the financial side. In just nine months, industrial production fell by 34.5%, a sharper contraction even than that in the depression of 1920 to 1921, a slump that, for Graham's generation, had seemed to set the standard for the most economic damage in the shortest elapsed time.¹² The Roosevelt administration insisted that the slump of 1937 to 1938 was no depression but rather a "recession." The national unemployment rate in 1938 averaged 18.8%.

In April 1937, four months before the bottom fell out of the stock market for the second time in 10 years, Robert Lovett, a partner at the investment firm of Brown Brothers Harriman & Co., served warning to the American public in the pages of the mass-circulation *Saturday Evening Post*. Lovett, a member of the innermost circle of the Wall Street establishment, set out to demonstrate that there is no such thing as financial security—none, at least, to be had in stocks and bonds. The gist of Lovett's argument was that, in capitalism, capital is consumed and that businesses are just as fragile and mortal as the people who own them. He invited his millions of readers to examine the record, as he had done:

If an investor had purchased 100 shares of the 20 most popular dividend-paying stocks on December 31, 1901, and held them through 1936, adding, in the meantime, all the melons in the form of stock dividends, and all the plums in the form of stock split-ups, and had exercised all the valuable rights to subscribe to additional stock, the aggregate market value of his total holdings on December 31,

¹² Benjamin M. Anderson, *Economics and the Public Welfare* (New York: Van Nostrand, 1949), p. 431.